

Share Price Analysis Report



**Built on the bedrock
of Engineering,
fuelled by technology.**

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Share Price Analysis Report

Company Overview:

Larsen & Toubro (L&T) stands as India's largest multinational conglomerate, renowned for its excellence in engineering, construction, manufacturing, and financial services.

The company operates across diverse segments including Infrastructure, Power, Heavy Engineering, Defence Engineering, Hydrocarbon, IT, Financial Services, and developmental projects.

L&T's comprehensive expertise and innovative approach position it as a leader in driving sustainable growth and technological advancement across industries.

Current Market Price (as on 05-07-2024)

3,627.15 ▲ **53.85 (1.51%)** | At 03.30pm

SNAPSHOTS

BSE Code	500510
NSE	LT
Industry	Conglomerate
Sector	Construction & Engineering
Equity shares	137.47 Crores
Market Cap	₹ 4,98,613.07 Crores
52W Range	₹ 3,919.90 / 2,420.00
P/E	38.77 TTM
Book Value	₹ 628.14
Face Value	₹ 2
Div Yield (%)	0.94%

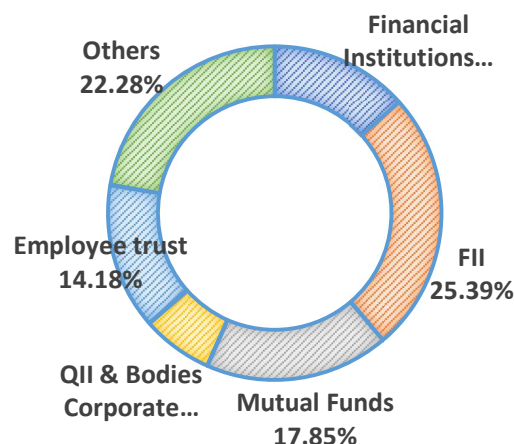
L&T Price Chart over 5 Years:



Chart Source: Google finance

- The stock surged from ₹1,080 on November 17, 2020, to ₹3,578 on January 17, 2024, reflecting a remarkable 231% increase during this period, driven by the pivotal agreement signed for the construction of the Ram Mandir.
- On June 23, 2020, the share price closed 6% higher after the company reaffirmed its commitment to the Atmanirbhar Bharat initiative.
- On June 03, 2024, the company partnered with NICMAR University to offer M-Tech programs aimed at developing a talent pool, resulting in a 6.21% rise in the share price.
- Over the last 30 days, the share price is up by 2.51%. And over the 1 year, the share price is up by 47.33%.

Shareholding pattern (as on 31-03-2024)



- Mutual Funds have increased holdings from **17.01% to 17.85%** in March'24 quarter.
- Financial institutions and FIIs have reduced their shareholding by 0.63% and 0.16% respectively compared to last year.
- Promoters' holding stands at Nil.
- The Company has **bought back** 3.125 Crore equity shares, representing 2.22% of the number of equity shares in the paid-up share capital, at a price of ₹ 3,200 per share.

Industry Overview:



Infrastructure Industry

- **Key to Economic Growth:** Infrastructure is crucial for India to achieve its goal of becoming a **\$26 trillion economy**. Investments in infrastructure, combined with initiatives to improve the ease of doing business, are essential for increasing efficiency and reducing costs.
- **Government Initiatives:** The Indian government has launched several initiatives to improve infrastructure, with the **Gati Shakti national master plan** being a significant example. This **\$1.3 trillion** plan aims to implement systemic and effective reforms in the infrastructure sector.
- **Capital Expenditure:** The Central government has allocated **\$133.9 billion (Rs. 11.11 trillion)** for capital expenditure in the fiscal year starting April 1, 2024. This represents an 11.1% increase from the previous year, highlighting the government's focus on advancing infrastructure to stimulate economic growth.
- **Market Growth:** The India Infrastructure Sector Market is estimated to be worth **\$204.06 billion in 2024** and is expected to grow to **\$322.27 billion by 2029**, with a compound annual growth rate (CAGR) of **9.57%** during this period.
- **Future Aspirations:** India's goal of achieving **developed nation** status by 2047 depends significantly on enhancing its infrastructure. Improving infrastructure is essential for creating liveable, climate-resilient, and inclusive cities that drive economic growth.



Energy Industry

- **Increasing Demand:** India's energy demand is set to rise significantly, supported by a **\$67 billion investment** in the domestic gas sector over the next 5-6 years. India's installed renewable energy capacity is expected to increase to about 170 GW by March 2025 from the level of 135 GW as of December 2023.
- **Green Energy Shift:** India is transitioning to green energy supported by initiatives such as the Green Hydrogen Standard and the National Green Hydrogen Mission, which has an initial investment of **Rs. 19,744 crore (\$2.37 billion)** dedicated to green hydrogen projects and research.
- **Capital Expenditure:** As per the National Infrastructure Pipeline 2019-2025, energy sector projects accounted for the **highest share (24%)** out of the total expected capital expenditure of **Rs. 111 lakh crore (US\$ 1.4 trillion)**. Further, in the Interim Budget for 2024-2025, the fiscal allocation for solar power grid infrastructure development surged to **Rs.8,500 Crore (\$1.02billion)**, a significant rise from the previous year's **Rs.4,970Crore (\$0.60billion)**.
- **Renewable Energy Push:** India aims for **net-zero emissions** by 2070 and **500 GW renewable energy** by 2030. Key initiatives include the **PM Surya Ghar Muft Bijli Yojana** for free rooftop solar to 1 crore households, 140 MW solar plants, and 2.73 lakh solar pumps under **PM-KUSUM**, and the development of 59 solar parks and floating PV projects.

Industry Overview:



Information Technology

- **Global IT Outsourcing Hub:** India is renowned for its high-quality IT outsourcing services, serving major firms in Europe and North America. In FY23, India generated nearly **\$193 billion** in export revenue, with IT services making up **more than half** of this amount.
- **Market Growth:** The IT Services Market is projected to grow from **\$1.20 trillion** in 2024 to **\$1.81 trillion** by 2029, at a **CAGR of 8.38%**. This growth is driven by technological advancements like 5G, Blockchain, AR, and AI, which enhance IT service offerings.
- **5G and Technological Impact:** The adoption of 5G is expected to boost IT services, with global 5G subscriptions projected to **exceed 5.3 billion** by 2029. In Q4 2023 alone, 5G subscriptions surged by **154 million**, totalling 1.57 billion.
- **Rise of SaaS and AI:** India ranks **first** in AI talent concentration and has seen a doubling in the global market share of its SaaS companies. With 59 SaaS **unicorns** and potential unicorns, the country's internet connections increased from 251 million in 2014 to **918.19 million in 2022**.
- **Economic Contribution:** The IT & BPM sector is a key economic driver, contributing **7.5%** to India's GDP in FY23 and expected to reach **10% by 2025**. The Union Budget 2023-24 allocated **Rs. 97,579.05 crore (\$11.8 billion)** to the IT and telecom sector, highlighting its importance to the nation's economy.



Engineering

- **Key Sector in India:** Engineering is India's **largest** industrial sector, with 27% of all factories and driving 63% of foreign collaborations. It's vital in industries like infrastructure, electricity, mining, oil and gas, steel, etc boosting economic growth.
- **Global Competitiveness:** India excels in engineering with lower manufacturing costs, advanced technology, and innovation. This has attracted significant investments, making India a preferred destination for global companies seeking high-quality engineering solutions.
- **Economic Backbone:** It contributes about 25% to India's global goods exports, earning **\$109.32 billion** in FY24 with a steady growth trend. Key markets include the US, Europe, and UAE, with the US alone importing **\$17.63 billion** worth of goods.
- **Future Growth Potential:** The engineering services market is set to grow from **\$65.3 billion** in 2023 to **\$88.77 billion** by 2028, driven by digital advancements and demand from sectors like chemicals and pharmaceuticals. By 2030, exports are expected to reach **\$200 billion**, underscoring India's robust potential in the global engineering landscape.

Share Price Analysis Report



Swot Analysis:

Strengths:

- **GOI Support:**
Government entities are its largest clients, ensuring steady projects & profitability.
- **International Market:**
Operates in PAN India and 64 countries worldwide thus improving its growth potential and competitiveness.
- **Extensive Networks:**
With 86 subsidiaries, 26JVs, and 7 associates, L&T leverages cross-sector synergies to spread risks and maintain stability across various industry segments.
- **Sustainability:**
Focuses on greener portfolio, achieved 50% revenue from green business in FY24. Ranked 3rd globally in Top 200 Environmental Firms' list.
- **Financial Health:**
Demonstrates consistent revenue growth and profitability, with mutual fund holdings increasing from 17.01% to 17.85% in March 2024, indicating strong investor confidence

Weaknesses:

- **Labour Safety Concerns:**
70% increase in worker fatalities in FY 2023-24 due to inadequate safety protocols.
- **High Debt:**
The company has high debt level that challenges the company's financial stability and growth prospects.
- **Declining Net Cashflow:**
30% decrease in net cash flow compared to the previous year FY23 indicating challenges in generating sufficient cash.
- **Dependence on Domestic Operations:**
Reliance on Indian market for its revenue and growth poses risk associated with economic fluctuations and Indian policy changes to the company.
- **Complex Structure:**
Diverse operations may create management challenges for the company.

Opportunities:

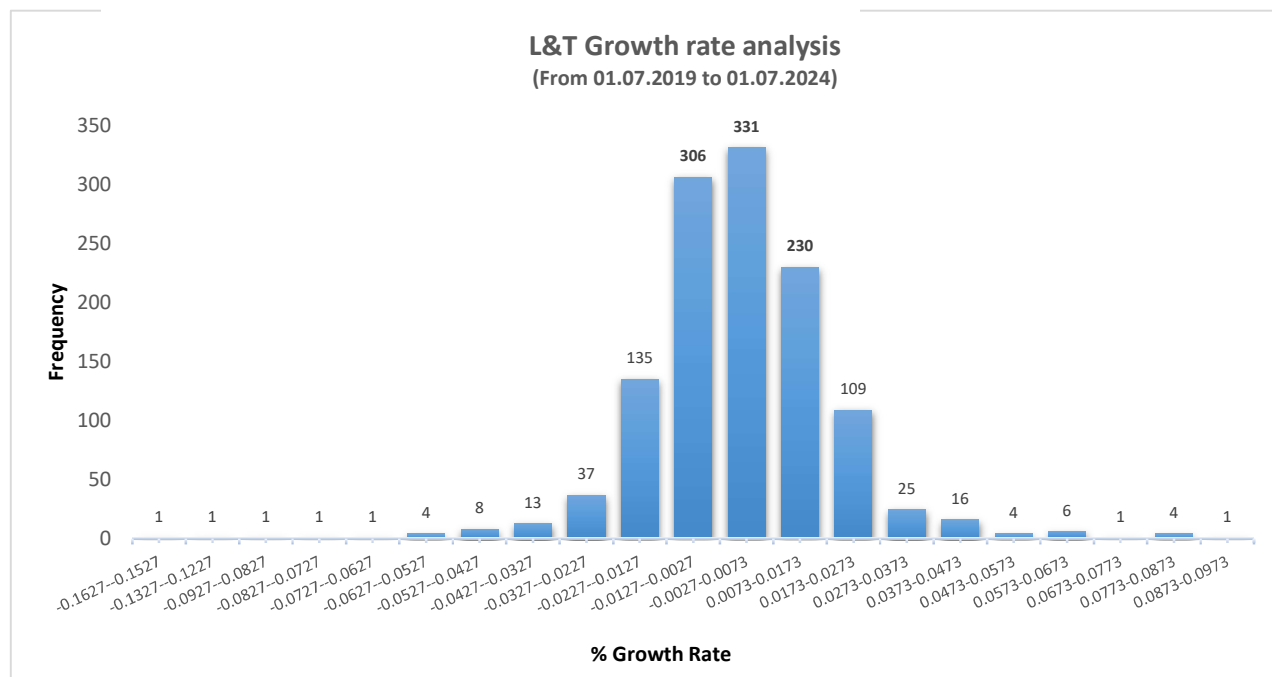
- **Increasing Investments:**
11.1% increase in infrastructure investment in the 2024-25 Interim Budget and India's plan to invest US\$ 1.723 trillion by FY30.
- **Mergers & Acquisitions (M&A):** Strengthen market position and diversify revenue streams by pursuing strategic M&A opportunities.
- **Public-Private Partnerships (PPP):** Leverage industry expertise and project management skills to secure profitable PPP projects.
- **Renewable Energy Projects:** Capitalize on the global shift towards renewable energy by expanding infrastructure projects in this sector.

Threats:

- **Environmental Regulations**
Increasing scrutiny and stricter regulations could impact operations and increase compliance costs.
- **Intense Competition**
Growing number of competitors entering the market could erode market share and pricing power.
- **Technological Disruption**
Rapid advancements in technology could necessitate substantial investments to stay competitive.



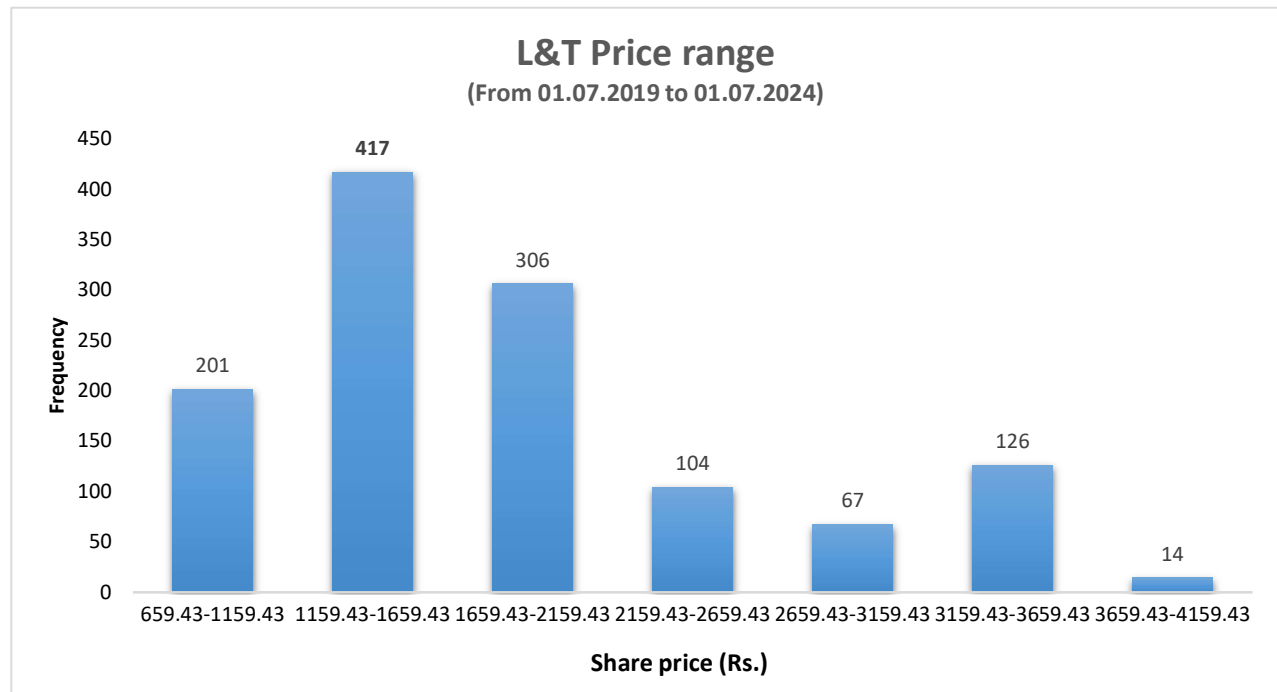
Growth Rate Analysis of L&T



- The above graph shows a **normal probability distribution** of the growth rates (%) of 1 L&T stock over the specified period. The x-axis represents different ranges of **growth rates**, spanning from -16.21% to 9.73% whilst the y-axis shows the **frequency** or the count of occurrences of the stock growth rates.
- The highest frequency is seen in the growth rate range of -0.0027 to 0.0073, with 331 occurrences. This indicates that the **most common growth rate** for L&T stock is between **-0.27% and 0.73%**.
- On March 23, 2020, the stock experienced a significant decline of **-16.27%**. This drop was primarily due to the rising number of coronavirus cases in India and the resultant lockdown imposed in many states. The government's decision to lockdown 75 districts to mitigate the threat of increasing cases further weakened market sentiment, leading to a sharp crash in benchmark indices.
- On June 4, 2024, the unexpected outcome of the general election triggered a wave of fear-driven selling in the domestic market, causing the stock to decline by **-12.67%**.
- On Feb 1, 2021 the stock surged by **8.55%** on account of the presentation of the Union Budget 2021-22. On Nov 18, 2020, the stock surged by **6.22%** due to the assignment of significant contracts, including a major construction project for the Ram Mandir and a substantial supply order from Tata Steel.
- The stock generally rose by 5-8% with new partnerships or large contracts and declined by 2-6% after the release of audited annual results over the last 5 years, reflecting investor reactions to growth prospects and financial disclosures.



Adjusted Closing Price Analysis of L&T



- The graph illustrates the distribution of trading days required for a stock to break out of successive price ranges. Each **price range** is represented on the x-axis, and the **frequency of trading days** spent in each range is depicted on the y-axis.
- The **adjusted closing price** is the final price of a stock after accounting for dividend, stock-split, rights issues, and other corporate actions that can influence its value. Hence, it can also be concluded that the above chart will not depict a normal probability distribution as the chart of '*growth analysis*'.
- It has been observed that the share was trading between the price range of **Rs 1,159.43 and 1,659.43** for about **417 days** during the last 5 years. Whereas it was trading between price range of **Rs. 1,659.43 and Rs. 2,159.43** for 306 days.
- Furthermore, due to the COVID-19 pandemic, the share price remained within the range of **Rs.659.43 to 990.14** for a duration of 166 days from March to November 2020.



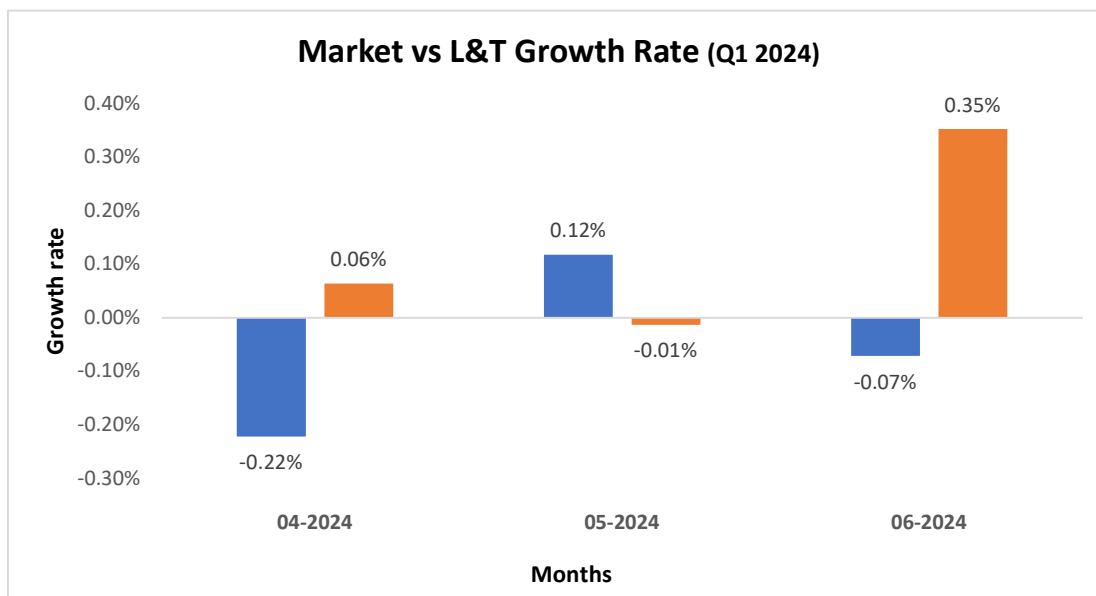
Descriptive Statistics

Particulars	L&T Price	Market (Nifty 50)
Mean	1,831.07	16,017.39
Standard Error	22.74	105.71
Median	1,658.85	16,929.60
Mode	1,354.35	11,588.35
Standard Deviation (SD)	799.00	3,715.07
Sample Variance	6,38,404.81	1,38,01,708.94
Kurtosis	-0.12	-0.84
Skewness	0.88	-0.11
Range	3,207.32	16,434.25
Minimum	659.43	7,610.25
Maximum	3,866.75	24,044.50
Sum	22,61,365.31	1,97,81,481.11
Count	1,235.00	1,235.00

- The above table shows the comparison of different **statistics variables** between the L&T Adjusted Closing Price and the Adjusted Closing Price of the Market during the period of 01-07-2019 to 01-07-2024.
- **Mean** which is the average of the given set of data is Rs. 1,831.07 for L&T & Rs. 16,017.39 for the market.
- **Median** is the middle value of a dataset which is Rs. 1,658.85 for L&T while Rs.16,929.60 for the Market.
- **Mode** is the value with the highest frequency in the data set. It can also be interpreted as the price at which the share or the Market was trading for maximum no. of days. It is Rs. 1,354.35 for stock whereas Rs. 11,588.35 for the Market.
- **Standard Deviation** is the average distance from the mean value of all values in a data set. The lower the SD, the better. It is Rs. 799 for L&T whilst Rs. 3,715.07 for the Market.
- **Sample variance** is used to calculate variability in a given set of observations that are pulled from a population and completely represent it. It is a square of SD. It is Rs. 6,38,404.81 for L&T and Rs. 1,38,708.94 for the market.
- A normal distribution is symmetrical with no skewness, where the mean, median, and mode are equal. Whilst, **skewness** measures the degree of asymmetry in a distribution, which can help identify deviations from normality. It is 0.88 for L&T and -0.11 for the market.
- **Kurtosis** focuses more on the height. It tells us how peaked or flat our normal distribution is. It is -0.12 for L&T and -0.84 for market.



Market and Share Growth Rate Analysis

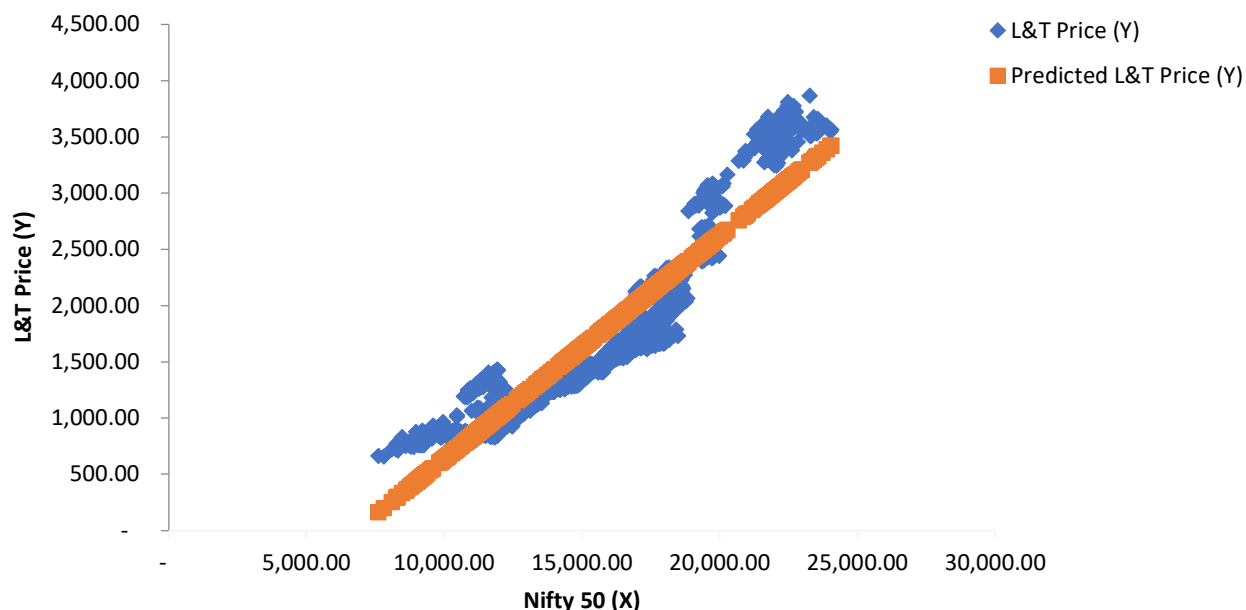


- The above chart shows the average **growth rate of L&T (Blue bar)** and the **Market (Orange bar)** during **Quarter 1** (April-June) of FY 2024. In April, L&T's growth rate was -0.22%, while the market showed a slight positive growth rate of 0.06%. Then in May, L&T's growth rate improved significantly to 0.12%, surpassing the market's decline to -0.01%. However, in June, L&T's growth rate declined again to -0.07%, while the market bounced back strongly with a growth rate of 0.35%
- The stock underperformed during **April** on account of **penalty of Rs. 10.14 Crores** imposed by the Custom Authorities for incorrect HSN Classification on imports. Additionally, there was **stake sale** of L&T Infrastructure Development Projects Limited and **finest of Rs.10,000 each** were levied by BSE & NSE for delayed Board Meeting intimation regarding fund raising.
- On **May 09, 2024**, Nifty tumbled **1.5%** due to foreign fund outflows and selling in L&T and Reliance Industries. L&T slid by **5%** following its audited results which reported a consolidated revenue growth of 15% y-o-y, while EBITDA margin contracted by 93bps y-o-y due to **higher SG&A costs**.
- Despite positive returns in May, L&T faced a downtrend in **June**, declining **12.67%** on June 4, 2024, due to fear-driven selling amid **election** result uncertainties. This decline was partially offset by L&T securing large offshore orders from ONGC, partnering with NICMAR for M-Tech courses, winning significant orders from Bihar for a Solar PV plant, and obtaining construction orders in Hyderabad and Mumbai. On the other hand, Nifty jumped by **3%** as the exit polls predicted a victory for the NDA in the recently concluded Lok Sabha elections. However, it declined the next day due to election result uncertainties, leading to **fear driven selling**. The Nifty increased again after the announcement that BJP-led NDA would form the government with PM Narendra Modi continuing for a third consecutive term.



Correlation Analysis between Market and L&T

Nifty 50 (Market) Line Fit Plot



- The above chart shows the correlation between L&T and the Market (Nifty 50).
- A correlation coefficient is a number between -1 & 1 that shows the **strength** and **direction** of a **relationship** between two variables. In other words, it reflects how similar the measurement of two or more variables are across a dataset.
- The orange line in the above chart presents the **line of best fit** which is used to express a relationship in a scatter plot of different data points. It is the **predicted price** of L&T if market and L&T were to be 100% correlated. In reality, the prices vary due to reasons other than the market factors.
- The blue line represents the adjusted closing price of L&T over the last five years.
- It can be observed that the adjusted closing price of L&T is scattered and form cluster close to the line of best fit which can be interpreted as the share of L&T is **positively correlated** to the market.
- The correlation coefficient between L&T and Market is **0.9232**.

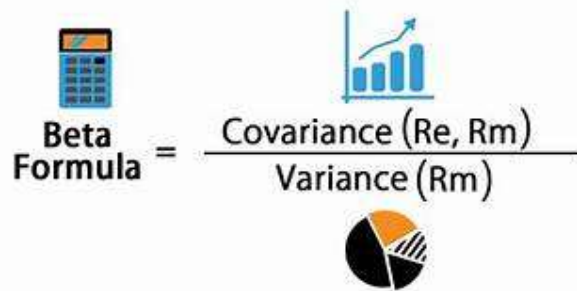
Regression Statistics	
Multiple R	0.9232
R Square	0.8523
Adjusted R Square	0.8522
Standard Error	307.1764

β BETA (Sensitivity of stock to market)

- A beta is a measure of **stock's volatility** in relation to the overall market. The Sensex and Nifty, as market benchmarks, typically exhibit a beta of 1.0 and individual stocks are ranked based on their deviation from the market. A stock that swings more than the market over time has a beta above 1.0. If a stock moves less than the market, the stock's beta is less than 1.0.
- There are two approaches to calculate Beta: **Regression Approach** and **Bottom-up Approach**

I. Regression approach:

- In this approach, beta is based upon historical data and trend patterns of the company.
- Since in this approach beta is based on historical data, it may not predict the future volatility accurately, especially during periods of market stress or unexpected events.



The diagram illustrates the Beta Formula. On the left, there is a calculator icon above the text "Beta Formula". To the right of this is an equals sign followed by a fraction. The numerator of the fraction is "Covariance (Re, Rm)" and the denominator is "Variance (Rm)". Above the numerator is a bar chart icon with an upward arrow, and below the denominator is a pie chart icon.

$$\text{Beta Formula} = \frac{\text{Covariance (Re, Rm)}}{\text{Variance (Rm)}}$$

- Using the above formula, we have derived **Beta as 1.06**, which indicates that the stock is more volatile than the market. It means that L&T is riskier, but provides a higher return potential.
- Even though this method of calculating Beta is extensively used, it is not the most accurate. In emerging markets like India, regression beta often comes with a **high standard error**. This can lead to significant inaccuracies, making the beta unreliable and unsuitable for valuation purposes if the standard error is abnormally high.
- In response to these limitations, an **alternative** approach known as the bottom-up method is employed to calculate beta more reliably. This approach aims to provide a more accurate assessment of a stock's sensitivity to market movements by considering company-specific factors, rather than relying solely on historical data. This method offers a more nuanced and precise evaluation, especially in volatile markets like India.

II. Bottom-up Approach:

- In this approach, Beta is determined based on the **average industry** beta of comparable companies. While this method requires more detailed calculations compared to a simple regression beta, the resulting beta is **more reliable and reflective** of industry trends and company-specific factors.
- Every business entity has a unique operating model and capital structure. The bottom-up approach takes these differences into account, making it a more accurate and reliable method for calculating beta. This consideration of specific business characteristics makes bottom-up beta superior to regression beta.
- The following Steps are involved in this approach:
 - Calculate the beta for all comparable companies
 - Un-lever the betas to remove the impact of their individual capital structures
 - Average the unlevered betas
 - Re-lever this average beta as per the capital structure of our target company.
- For the calculation of Beta, the *Market Capitalisation, Geography and Business segments* have been used as criterion to select the comparable companies from similar sector. Accordingly, historical data of the following companies have been considered:

Companies	Market Cap (in crores)	Levered Beta	Debt (in crores)	Equity (in crores)	Unlevered Beta
L&T	5,13,191	1.06	1,16,322	86,359	0.53
RVNL	1,27,176	0.99	6,033	7,867	0.63
BHEL	1,14,194	1.25	8,856	24,439	0.98
KEC	22,439	0.79	3,895	4,095	0.46
Average Unlevered Beta					0.65
Re-Levered Beta of L&T					1.30

- Thus, it can be interpreted that L&T beta is **more volatile** than the market. If market moves by 1%, L&T's stock is expected to move by 1.30% in the same direction. Since beta of the stock is more than 1, it carries **higher systematic risk** when compared to the overall market. With higher risk comes the potential for higher returns. If the market performs well, L&T's stock could outperform the market average. Conversely, in a market downturn, L&T's stock could underperform.
- For investors with high risk tolerance seeking a diversified portfolio, L&T presents an attractive investment opportunity.



Value at Risk (VaR)

- Value at risk (VaR) is a measure of the risk of **loss of investment** or Capital. It estimates how much a set of investments might lose (with a given probability), given normal market conditions, in a set time period such as a day.
- This metric is most commonly used by investment and commercial banks to determine the extent and probabilities of potential losses in their institutional portfolios.
- In case of L&T, the VaR calculated using Regression beta of 1.06 and adjusted closing price of Rs.3,548.45 (as on 28.06.2024), at the following confidence level are as follows:

Confidence Level	VaR	Loss Computation	Maximum Loss
95%	-62.27	=2,818 x (62.27)	(1,75,486)
99%	-131.70	=2,818 x (131.70)	(3,71,136)

Assuming an investor holds shares of L&T worth **Rs. 1 Crore**, with the current market price at Rs. 3,548.45 per share, the investor would be holding approximately **2,818 shares**.



Conclusion

- Larsen & Toubro (L&T) stands out as a significant player in the market, offering substantial growth potential for investors. With a strong market presence and diverse portfolio, L&T demonstrates robust performance and resilience.
- The company reported 15%, 6%, 8% YoY growth in Revenue, EBITDA, PAT respectively on a consolidated basis. Core E&C revenue and EBITDA increased 18% and 22% YoY, with E&C margins at 9.5% in 4QFY24. Working capital improved further to 12% of sales for core E&C f, and RoE inched up to 14.9% from 12.2% in FY23.
- L&T ended the year on a strong note on inflows and revenue, with 39% and 26% YoY growth for core E&C driven largely by a sharp uptick in inflows from international geographies
- Notably, ICICI Direct Research has recently set a 'Buy' rating for L&T, with a target price of Rs. 4,300 over the next 12 months.
- Investors should consider both the strengths and potential risks, but overall, L&T remains a promising investment due to its strong fundamentals and strategic vision. We expect L&T to benefit from an improving prospect pipeline and improvements in NWC and RoEs.
- We advise investors to remain invested or may consider any dip to enter for mid to long term investment.